

- (a) Determine the minimum loan amount.

Answer \$ _____ [1]

- (b) Charlotte calculated that if the loan period is 2 years and that she took a loan of \$48000, her monthly car instalment will be \$2098.00. Show that Charlotte is correct.

Answer

[2]

- (c) Charlotte intends to use **no more than** her current taxi expenditure to pay for her monthly car instalment. Suggest the minimum loan period. Justify your answer with clear workings.

Answer _____ [7]

- (d) Give a possible reason to explain why Charlotte's savings will be reduced even if her monthly instalment is the same as the current taxi expenditure.

Answer

[1]

End of paper
